

# Equity Securities, at a glance.

A condensed, exam-ready reference for tomorrow's class. Covers all three chapters — **Introduction to Equity Securities**, **Equity Issuance**, and **Equity Valuation: Concepts & Basic Tools** — with the definitions, formulas and distinctions you are most likely to be tested on.

|           |                                                |
|-----------|------------------------------------------------|
| Chapter 1 | <b>Introduction to Equity Securities</b>       |
| Chapter 2 | <b>Equity Issuance</b>                         |
| Chapter 3 | <b>Equity Valuation — Concepts &amp; Tools</b> |

## CHAPTER 1 · INTRODUCTION TO EQUITY SECURITIES

**Equity capital** = the **share capital** of a company — ownership, not a loan. **Capital structure** is the mix of **debt and equity** a firm uses to fund operations and finance assets. Managers trade the two off to find the **optimal capital structure**.

### Four shareholder rights

- Share in the company's **profits** (dividends)
- Share in **assets on liquidation** (residual claim)
- **Appoint directors** of the company
- **Vote** at shareholder meetings

### Why equity matters (role in the economy)

- **Capital raising** — fund expansion & R&D
- **Ownership alignment** — owners ↔ managers
- **Investor participation** in company growth
- **Risk distribution** across many investors

### Advantages of equities

- Strong **long-term returns** (beat cash & bonds)
- **Global exposure** via multinationals
- **Inflation proofing** over long horizons
- **Income** from dividends (not guaranteed)
- **Tax/estate planning** — TFSA, endowment, RA

### Disadvantages / who & when

- **Volatility** — price can fall below cost
- Take a **10-year view**; not for <5-yr money
- Best held in **inflation, rising activity, low rates**
- Suits investors with a **long time horizon**

## TYPES OF EQUITY SECURITIES

| TYPE                          | KEY IDEA                                                                                                    | WATCH-OUTS                                                            |
|-------------------------------|-------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------|
| <b>Common (ordinary)</b>      | Predominant equity security: ownership interest, residual claimant, governance (voting), share in profits.  | Dividends are <b>not obligatory</b> ; last in line on liquidation.    |
| <b>Preferred (preference)</b> | Fixed dividend, generally higher than common; ranks ahead of common; can be perpetual, callable or putable. | Dividends <b>not a contractual obligation</b> (unlike debt interest). |
| <b>Private equity</b>         | Equity in companies not publicly traded (venture capital, LBOs).                                            | Illiquid; long holding periods.                                       |
| <b>Public equity</b>          | Shares listed and traded on an exchange.                                                                    | Subject to listing rules & disclosure.                                |
| <b>Foreign / non-domestic</b> | Direct investing, or indirect via <b>Depository Receipts</b> & Global Registered Shares.                    | FX gains/losses; DRs carry no voting rights.                          |

### Common equity — voting

Vote on board members, mergers/takeovers, outside auditors. Can vote by **proxy**.

- **Statutory:** up to your share-count per director.
- **Cumulative:** pool all votes onto chosen candidates — protects **minorities**.

100 shares, 4 directors → statutory ≤ 100 per director; cumulative = 400 votes split freely.

### Preferred — dividend flavours

- **Cumulative** vs **Non-cumulative** (missed dividends accrue or not)
- **Participating** vs **Non-participating** (share in extra profit/assets or not)
- **Convertible:** swap into a set number of common shares (ratio fixed at issue) — popular in VC/PE.

### Depository Receipts (DRs)

A negotiable instrument issued by a **bank** representing an interest in a foreign company, trading on a domestic exchange like a common share. **Not** issued by the company → raise no capital for it; they merely facilitate cross-border trading. Lower transaction costs than buying the foreign stock directly. Called **GDRs** globally, **ADRs** in the US. **No voting rights** (those rest with the bank).

## RISK, RETURN & COMPANY VALUE

### Return — Holding Period Return (HPR)

$$R = \frac{(EV - BV) + D}{BV}$$

EV = ending value, BV = beginning value, D = dividends.  
Other measures: annualised HPR, arithmetic & geometric mean. Other return sources: FX gains/losses, reinvested dividends.

### Risk

- Based on the **uncertainty of future cash flows**.
- More uncertainty → more risk → more volatile price.
- Risk = uncertainty of **expected total return**.
- Historical **average return & std dev** proxy future return & risk.

### Market value vs Book value

- **Market value** (market cap) = investors' expectations of amount, timing & probability of future cash flows. Management affects it only **indirectly**.
- **Book value** = Total Assets – Total Liabilities (historical). Rarely equals market value.

### Accounting Return on Equity (ROE)

$$ROE = \frac{NI}{\text{avg shareholders' equity}}$$

Avg equity =  $(SE_t + SE_{t-1}) / 2$ . Worked example:  $10\,150\,000 \div ((49\,445\,000 + 65\,500\,000)/2) = 17.66\%$ . Higher ROE → better internal cash generation.

## CHAPTER 2 · EQUITY ISSUANCE

### Primary vs Secondary markets

- **Primary:** new shares issued, capital raised by the company (e.g. IPO, SEO).
- **Secondary:** existing shares traded between investors; no new capital to the firm.

### Listed vs Unlisted shares

- **Unlisted** trade OTC via market makers/dealers.
- Riskier: no regulatory framework / FMA protection, no formal market, pricing & liquidity risk, higher business risk.

### South African stock exchanges

Exchanges **match buyers with sellers** and ensure trades are **cleared/finalised** at a clearinghouse.

| EXCHANGE           | DIFFERENTIATOR                                                          |
|--------------------|-------------------------------------------------------------------------|
| <b>JSE</b>         | Est. 1887; ~354 listings; the primary licensed exchange for IPOs.       |
| <b>ZAR X</b>       | Faster settlement — <b>same-day</b> vs JSE's T+3; targets unlisted cos. |
| <b>A2X Markets</b> | Secondary listings of JSE companies (Naspers, Standard Bank, Sanlam).   |
| <b>4AX</b>         | Targets unlisted companies.                                             |
| <b>EESE</b>        | Attracts <b>empowerment</b> companies.                                  |

### JSE listing — boards & principles

- **Main Board** + **AltX** (lighter criteria, smaller/dev companies).
- Must comply with the **Companies Act** + **JSE Listings Requirements** (under the FMA).
- Issuer must be **suitable**; prompt disclosure; **fair & equal** treatment of same-class holders.

### IPO · SEO · Dual listing

- **IPO:** first sale of shares to the public (price-setting needed).
- **SEO** (seasoned equity offering): like an IPO but **no price-setting** step.
- **Dual listing:** same security on 2+ exchanges → more liquidity & capital (e.g. BHP, AB InBev, Richemont, Naspers, Anglo American).

## CHAPTER 3 · EQUITY VALUATION — CONCEPTS & BASIC TOOLS

### Going concern vs Liquidation

- **Going concern:** firm continues trading, uses assets for value maximisation, accesses optimal financing.
- **Liquidation:** firm dissolved; assets sold separately.

### Intrinsic value (IV) vs Market price (MV)

- **IV** = value given full understanding of the asset; differs investor-to-investor.
- **IV > MV** → **undervalued**; **IV < MV** → **overvalued** (inefficient market).

### The valuation process

- **Top-down:** economy → industry → company.
- **Bottom-up:** start with the company's fundamentals.
- Steps: understand the business → forecast → select model → convert to a value → apply/conclude.

### Model families

- **Absolute / DCF:** DDM, FCFE, FCFF, Residual Income.
- **Relative:** price ratios (P/E, P/B, P/S), EV/EBITDA.
- **Asset-based:** NAV / FMV = total assets – total liabilities.

### CHOOSING THE MODEL

- **DDM** needs a dividend-paying company with stable, predictable payments (mature firm).
- **FCFF/FCFE** when dividends are absent/irregular but free cash flows are positive & predictable.
- **Relative (P/E)** needs positive earnings; **asset-based** suits tangible-asset-heavy firms.

### LIKELY EXAM TRAPS

- Preference dividends are **fixed but not contractually obligatory** — don't confuse with debt interest.
- **DRs carry no voting rights** (they sit with the bank) and raise **no capital** for the company.
- **Cumulative voting** protects minorities; **statutory** voting does not.
- **IV > MV = undervalued** (a common direction mix-up).
- Secondary-market trades raise **no new capital** for the issuer.